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Case Number: 25STCV29365 Hearing Date: July 27, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department
508

ROY VISHWAJIT,

Plaintiff,

vs.

WELLS FARGO &
COMPANY, et al.,

Defendants.

Case No.:

25STCV29365

Hearing Date:

July 27, 2026

Hearing Time:

2:00 p.m.

[TENTATIVE] ORDER RE:

DEFENDANTS WELLS FARGO & COMPANY AND WELLS FARGO, BANK, N.A.'S DEMURRER TO THE COMPLAINT

Background

On October 7, 2025, Plaintiff Roy Vishwajit ("Plaintiff") filed the instant action against Defendants Wells Fargo & Company ("WFC") and Wells Fargo, N.A ("WFBNA") (jointly, "Defendants") alleging three causes of action for (1) intentional infliction of emotional distress, (2) violation of California's Homeowners Bill of Rights, and (3) violation of California's Unfair Competition Law.

Wells Fargo now demurs to the complaint in its entirety. Plaintiff opposes. Wells Fargo replied.

Request for Judicial Notice

The Court grants Wells Fargo's request for judicial notice of Exhibits A and B. The Court grants Plaintiff's request for judicial notice of Exhibit 1.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. ((Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) In testing the sufficiency of the complaint, the court assumes the truth of properly pleaded factual allegations, facts reasonably inferred from those expressly pleaded, and judicially noticed matters. ((Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "A demurrer tests the pleadings alone and not the¿evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." ((SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) Accordingly, "[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." ((Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-610.)

Under Code of Civil Procedure section 430.10, subdivisions (e) and (f), a demurrer may be filed if the pleading is uncertain or does not state facts sufficient to constitute a cause of action. For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. ((Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 967.) A special demurrer for uncertainty, Code of Civil Procedure Section 430.10 subdivision (f), is strictly construed and will only be sustained where the respondent cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment, otherwise, it is abuse of discretion. ((Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Discussion

Defendants demur to the instant action, premising it on a few overarching issues. Defendants contend "Plaintiff's wholesale reliance on purported obligations arising under both HAMP and regulatory consent decrees—despite well-settled law rejecting both as actionable for private plaintiffs—dooms all of his causes of action. They also fail because Plaintiff does not allege causation. In other words, there are no allegations (nor could there be) that the denial of Plaintiff's loan modification application resulted in the foreclosure of his home." (Dem., 10:14-18.) Defendants also assert that "[e]ven setting aside those fundamental deficiencies, Plaintiff's causes of action fail individually for separate and independent reasons." (Dem., 10:20-21.)

A. Relevant Allegations of the Complaint

Plaintiff's complaint arises from an alleged foreclosure on his home and loan modification denials. Plaintiff's complaint alleges, inter alia, that "[t]he Home Affordable Modification Program (HAMP) was designed to provide the help [sic] people like Plaintiff who had fallen behind on their mortgage payments as a result of the Great Recession… These modifications would lower a borrower's mortgage payments to a manageable level (typically 31 percent of the borrower's monthly income) and allow the borrower to avoid foreclosure." (Compl., ¶ 9.) "In a form letter sent to Plaintiff in late 2024, Wells Fargo stated 'that it identified an error that may have occurred related to your approved and finalized loan modification'. Wells Fargo, however, never approved and finalized any of Plaintiff's applications for modification. Instead, it foreclosed on him." (Compl., ¶ 11.) "This identification of an error is part of a pattern. Between 2010 and 2018, Wells Fargo failed to detect multiple systematic errors in its automated decision-making tool. This software determined customers' eligibility for a government-mandated mortgage modification during a time of extreme financial distress." (Compl., ¶ 12.)

"As a result of Wells Fargo's deficient auditing and compliance procedures, Wells Fargo repeatedly violated HAMP and other government requirements over a period of at least eight years and denied Plaintiff and others loans that the Wells Fargo was legally required to offer." (Compl., ¶ 14.) After a 2010 investigation the Office of the Comptroller of the Currency "found, among other things, that the Wells Fargo had failed to devote adequate oversight to its foreclosure processes, failed to ensure compliance with applicable laws, and failed to adequately audit its foreclosure procedures." (Compl., ¶¶ 15-16.)

"Wells Fargo agreed to correct these deficiencies in two 2011 consent orders, one of which was signed by the Wells Fargo's Board of Directors (all of whom were also officers and/or directors of Wells Fargo & Company), and the other of which was signed by WFC pursuant to a resolution passed by WFC's Board of Directors." (Compl., ¶ 17.) "Wells Fargo pledged in the 2011 consent orders to maintain adequate governance and controls to ensure compliance with HAMP; to engage in ongoing testing for compliance with HAMP; and to ensure that the Wells Fargo's mortgage modification and foreclosure practices were regularly reviewed and any deficiencies promptly detected and remedied." (Compl., ¶ 18.)

"In late 2018, Wells Fargo began sending form letters to the customers affected by the errors in its automated decision-making tools." (Compl., ¶ 30.) "Plaintiff, however, was not sent a letter in 2018 and had no knowledge of the above described conduct until 2024 after receiving the letter." (Compl., ¶ 34.) "Plaintiff had been employed in the car business [since] 1991… When the Great Recession hit, the dealership closed on October 30, 2008. Plaintiff lost a $150,000.00 year job." (Compl., ¶

35.) “Although Plaintiff had some savings, he fell behind on his mortgage.” (Compl., ¶ 36.) “Plaintiff applied multiple times for loan modifications with Wells Fargo and was denied every time. Wells Fargo encouraged him to apply again and was denied each time he applied.” (Compl., ¶ 37.) “Although Plaintiff was able to gain re-employment, and pleaded with Wells Fargo not to foreclose, Wells Fargo foreclosed on Plaintiff in 2017.” (Compl., ¶ 38.) “As a result of the strain of losing his house, Plaintiff got divorced and developed high blood pressure. He was also hospitalized multiple time [sic] for high blood pressure which [sic] due to his financial situation. Plaintiff’s relationship with his teenage daughter suffered because of losing [his] home as well.” (Compl., ¶ 39.) “As a result of Wells Fargo’s repeated failure to properly test its automated decision-making tool, Plaintiff’s life has been irrevocably altered. His injuries include loss of his family’s home and the time and money put into that home; loss of equity in his home; loss of tax benefits; loss of appreciation in his home’s value; loss of time and money spent to find replacement housing and move his family; loss of time and money spent in an effort to avoid foreclosure; damage to his credit and resulting opportunity costs; and severe emotional distress.” (Compl., ¶ 41.)

B. Hernandez I

As a preliminary matter, Plaintiff’s opposition almost entirely relies on an unpublished, nonbinding, federal court decision: Hernandez v. Wells Fargo & Co. (N.D. Cal. June 3, 2019) 2019 WL 2359198 (“Hernandez I”). The Court notes that the majority of Plaintiff’s assertions are bolstered by this case and other federal cases. However, even when a federal circuit court interprets California law, the case may merely be utilized as persuasive authority and is not binding on this Court. (See People v. Memro (1995) 11 Cal.4th 786, 882 [Federal circuit court opinions “may serve as persuasive authority, of course, but only when they are just that—persuasive.”]; see also Satyadi v. West Contra Costa Healthcare Dist. (2014) 232 Cal.App.4th 1022, 1031 [“the opinions of lower federal courts are not binding on [California courts], particularly on issues of California law.”].) However, as stated and discussed by the Supreme Court in Farm Raised Salmon Cases (2008) 42 Cal.4th 1077, 1096, fn. 18, “[i]n their briefs, the parties discuss an unpublished federal district court opinion which came to the same conclusion when considering nearly identical facts. [Citation.] Citing unpublished federal opinions does not violate our rules.” Accordingly, the Court may consider Hernandez

I and the other federal authority cited but is not bound thereby.

Hernandez I involved a similar factual pattern to the case at bar, with the same causes of action. There, WFBNA filed a motion to dismiss, but the court denied it. In Hernandez v. Wells Fargo & Company (N.D. Cal., July 10, 2019) 2019 WL 3017657 (“Hernandez II”), the court dealt with WFC’s motion to dismiss, for the same case. The court granted the motion.

C. Private Right to Enforce Consent Orders or HAMP

Defendants first assert that “Plaintiff’s case is an improper attempt to enforce (a) Wells Fargo’s consent orders with its regulators and (b) the now-ended federal HAMP. Plaintiff is not empowered to enforce consent orders or HAMP. The opposite is true: the law plainly prohibits it.” (Dem., 13:5-7.)

Defendants cite Graham v. Bank of America, N.A. (2014) 226 Cal.App.4th 594, 615-616 for the proposition that an individual borrower is merely an incidental beneficiary of a consent judgment and, thus, “ha[s] no right to bring third-party suits to enforce” it. Defendants assert that “Plaintiff does not even allege that he is an intended beneficiary of the consent orders and, in fact, those consent orders expressly deny enforcement rights to nonparties, like Plaintiff.” (Dem., 14:3-4.) Defendants contend that “[t]hus, Plaintiff’s attempt to ground his claims on Wells Fargo’s purported duties under the 2011 consent orders fails as a matter of law.” (Dem., 14:11-12.)

Defendants also contend that “there is no basis—much like with the consent decrees—for Plaintiff to enforce alleged HAMP violations directly or even indirectly through other causes of action.” Defendants cite Bank of America, N.A. v. Roberts (2013) 217 Cal.App.4th 1386, 1399, where the court stated that HAMP “has been consistently construed to create no private rights or private causes of action on the part of borrowers.” Defendants assert that “Plaintiff’s causes of action all depend on alleged HAMP violations and are therefore improper. Indeed, Plaintiff’s entire theory is that Wells Fargo violated state law by violating HAMP. Plaintiff alleges that HAMP obligated Wells Fargo to lower mortgage payments for borrowers—like Plaintiff—who purportedly met certain criteria.” (Dem., 15:15-18.)

Plaintiffs oppose, asserting that Hernandez I, supra, 2019 WL 2359198 "addressed WFBNA's argument that the plaintiffs' state law claims, which were based in part on allegations that Wells Fargo failed to offer them a loan modification as required by HAMP, failed as a matter of law because plaintiffs lack standing to enforce HAMP's requirements." (Opp., 7:19-22.) Hernandez I cited Wigod v. Wells Fargo Bank, N.A. (7th Cir.2012) 673 F.3d 547, 582, where the Seventh Circuit found that "[t]he absence of a private right of action from a federal statute provides no reason to dismiss a claim under a state law just because it refers to or incorporates some element of the federal law." Hernadez I stated that "[s]ince the appellate court's decision in Wigod, our court of appeals and California appellate courts have similarly allowed state-law claims based on HAMP-required loan modifications to proceed past the pleading stage." (Id. at *3.) One California appellate court expressed that "[i]n Wigod, supra, 673 F.3d at pages 576–586, the Seventh Circuit Court of Appeals concluded HAMP does not preempt or otherwise displace state law causes of action. The court also recognized a borrower may assert state law claims, such as breach of contract, based directly on a TPP agreement because the borrower is in direct privity with the lender or loan servicer. (Wigod, supra, at p. 559 & fn. 4.)
We do not address whether HAMP creates a private right of action because West has asserted only California state law claims." (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 788.) Plaintiff's three causes of action are predicated on state law. Based on what other Courts have decided regarding HAMP, the Court similarly follows and finds that Plaintiff's causes of action are not precluded because they reference HAMP.

As for the consent order, Plaintiff asserts that "Hernandez 1 next rejected the argument that [the] complaint must be dismissed because the claims were premised on Wells Fargo's failure to comply with its obligations under the 2011 consent order." (Opp., 8:9-10.) The Hernandez I court stated that "Wells Fargo fails to explain, however, why plaintiffs' inability to enforce the OCC consent order necessarily dooms all of plaintiffs' claims, each of which relies on Wells Fargo's alleged violations of the consent order to a varying extent." (Hernandez I, supra, 2019 WL 2359198, at *4.) Similarly, here, Wells Fargo asserts that Plaintiff cannot enforce the consent decree but does not demonstrate how this precludes Plaintiff's state law causes of action. Accordingly, the demurrer is not sustained for referring to the consent order.

D. Failure to Allege Causation

Next, Defendants demur to Plaintiff's complaint for failing to allege causation, asserting that "Plaintiff also fails to allege a critical element of all of his causes of action: that Wells Fargo's purported conduct (the loan modification denial) caused Plaintiff's injury (the foreclosure)." (Dem., 16:2-3.) Defendants assert that "Plaintiff makes no factual allegations establishing a causal link—let alone a plausible one—between Wells Fargo's purported denial of his loan modification and the foreclosure of his home. He alleges only that he was entitled to a loan modification under HAMP (Compl. ¶ 10), and that Wells Fargo did not provide one, instead initiating foreclosure. (Id. ¶¶ 10–11.) But there is no allegation suggesting that the foreclosure would have been avoided with a loan modification. That is fatal." (Dem., 16:15-19.) Defendants contend that "[b]ecause Plaintiff fails to allege that there would not have been a foreclosure had the loan modification been approved, the Court should dismiss the Complaint." (Dem., 17:3-4.)

Plaintiff's opposition asserts that "he met HAMP threshold requirements, Wells Fargo was required to offer a modification, it failed to do so, and instead foreclosed on his home in 2017. (Compl. ¶¶ 10, 17, 36–38, 41.) The Complaint details resulting damages: loss of home and equity, emotional distress (anxiety, depression, hospitalizations, high blood pressure, marital and family harm), credit damage, etc. (Compl. ¶¶ 39–41, 51, 57, 64.) The 2024 letter admitting a possible error related to his 'approved and finalized loan modification' (despite never having been approved) further supports that the denial was erroneous. This is more than sufficient at the pleading stage." (Opp., 14:19-25.)

Defendants' response asserts that "Plaintiff does not once allege that he would have avoided foreclosure if a mortgage loan were granted. His Complaint admits he 'fell behind on his mortgage.' (Compl. ¶ 36.) His foreclosure was triggered by his own default—not by Wells Fargo's denial of a modification. Plaintiff fails to allege causation." (Reply, 3:4-7.)

The Court finds that Plaintiff sufficiently alleged causation between the foreclosure and the loan modification denials as set forth in the paragraphs identified above in the Opposition. Accordingly, Plaintiff sufficiently pleads causation.

E. First Cause of Action for Intentional Infliction of Emotional Distress ("IIED")

"The elements of a prima facie case for the tort of intentional infliction of emotional distress are: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct." (Wilson v. Hynek (2012) 207 Cal.App.4th 999, 1009, citation and ellipses omitted.) "A defendant's conduct is considered to be outrageous if it is so extreme as to exceed all bounds of that usually tolerated in a civilized community. [citations.] Liability for IIED does not extend to mere insults, indignities, threats, annoyances, petty oppressions, or other trivialities." (Crouch v. Trinity Christian Center of Santa Ana, Inc. (2019) 39 Cal.App.5th 995, 1007 [internal quotations omitted].)

In the complaint, Plaintiff pleads that "Wells Fargo engaged in extreme and outrageous conduct as alleged herein. Wells Fargo repeatedly failed to properly verify or audit mortgage modification software on which Plaintiff's home and well-being depended. It allowed systemic errors to persist for five to eight years; ignored consent decrees requiring it to reform its mortgage modification and foreclosure practices; failed to [sic] its verification and auditing practices even after the government found a software error had led the Wells Fargo to wrongfully deny mortgage modifications; concealed its discovery of an additional software error from regulators and customers; and failed to identify other related errors for an additional three years." (Compl., ¶ 47.) Plaintiff alleges that "[t]he same extreme and outrageous conduct that caused a series of scandals and consumer abuses within Wells Fargo…was also responsible for Plaintiff losing his home." (Compl., ¶ 48)

Plaintiff further alleges, "[w]ith regard to the mortgage modification and foreclosure processes in particular, Wells Fargo's Board and executive leadership repeatedly failed to ensure th[at] Wells Fargo conducted the necessary testing and audits to detect and promptly remedy any violations of HAMP or other government requirements." (Compl., ¶ 49) Plaintiff pleads that "Wells Fargo acted with reckless disregard for the probability that its conduct would cause emotional distress to Plaintiff who was wrongfully denied mortgage modifications and foreclosed upon." (Compl., ¶

50.) Finally, "[a]s a result of Wells Fargo's conduct, Plaintiff has suffered severe emotional distress, as alleged herein, which has contributed to diagnoses of anxiety and depression, hospitalizations, high blood pressure, various health problems, marital struggles, social withdrawal, stress disorders, and a number of physical, psychological, and social afflictions." (Compl., ¶ 51.)

Defendants assert that "[t]o the extent Plaintiff would rely on the allegation that Wells Fargo 'ignored consent decrees' and 'ignor[ed] compliance failures' (Compl. ¶¶ 47–48) to satisfy the extreme or outrageous element, those allegations also fall short." (Dem., 18:9-11.)

Plaintiff opposes by asserting that "Plaintiff recounts the conduct that the Hernandez 1 found could constitute outrageous conduct in Paragraphs 12-31 of his Complaint. Paragraphs 12, 14, 15-18, 22, 24, and 28 contain the factual allegations that Hernandez 1 were found to exist. Therefore, Plaintiff has properly pled outrageous conduct done with a reckless disregard of the possibility of causing emotional distress." (Opp., 11:14-17.)

Defendants' response contends that "[t]he Opposition relies almost exclusively on Hernandez I, supra, 2019 WL 2359198, but that decision does not help Plaintiff. Unlike the Hernandez plaintiffs, Plaintiff makes no specific allegations about how Wells Fargo's practices affected his application. His Complaint borrows Hernandez's systemic allegations wholesale without demonstrating any connection to his own circumstances." (Reply, 5:25-6:1.) Defendants cite In re Wells Fargo Mortgage Modification Litigation (N.D. Cal., Nov. 18, 2025) 2025 WL 3215123. There, the federal district court dismissed the IIED cause of action, reasoning that "plaintiffs fail to allege facts to support a finding that, when it considered plaintiffs' respective loan modification requests, Wells Fargo engaged in the type of outrageous behavior that can support an IIED claim." (Id. at *6.) The court found that plaintiffs' complaint "lack[ed] any facts to support a finding that the error(s) allegedly employed when Wells Fargo considered plaintiffs' respective loan modification requests were known to Wells Fargo at the time those requests were considered." (Id. at *6.)

The Court finds the case Defendants cited persuasive. Here, Plaintiff alleges outrageous conduct, generally, on the part of Defendants. However, Plaintiff fails to identify extreme or outrageous conduct that directly relates to Plaintiff's application. Accordingly, the demurrer is sustained, with leave to amend the first cause of action.

F. Second Cause of Action for Homeowner Bill of Rights

California's Homeowner Bill of Rights, Civil Code section 2924.17 provides that before recording or filing a notice of default, a notice of sale, assignment of a deed of trust, or substitution of trustee, "a mortgage servicer shall ensure that it has reviewed competent and reliable evidence to substantiate the borrower's default and the right to foreclose, including the borrower's loan status and loan information." The purpose of the Homeowners Bill of Rights "is to ensure that, as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure." (Civ. Code, § 2923.4.)

Plaintiff pleads, inter alia, that "[u]nder California's Homeowners Bill of Rights, Wells Fargo had an obligation to ensure that competent and reliable evidence, including the borrower's loan status and information, supported its right to foreclose before it filed a notice of default or notice o[f] sale in connection with the foreclosure of Plaintiff's real property." (Compl., ¶ 54.) "Wells Fargo materially and recklessly violated its obligation because Plaintiff's loan information did not support Wells Fargo's right to foreclose. Plaintiff['s] loan information showed that he qualified for a mortgage modification. Wells Fargo was therefore required to offer Plaintiff the opportunity to cure his default by accepting a mortgage modification before it could exercise its right to foreclose." (Compl., ¶ 55.) "The automated software that Wells Fargo used to wrongly determine that Plaintiff did not qualify for a mortgage modification was not reliable and Wells Fargo was reckless in using the software and relying upon it to support its right to foreclose." (Compl., ¶ 56.)

Defendants contend that the purpose of the statute is to prevent robo-signing, and because Plaintiff fails to plead robo-signing occurred, the statute is inapplicable. Plaintiff rebuts this, asserting that "Civil Code § 2924.17

requires a mortgage servicer to ensure ‘competent and reliable evidence’ supports its right to foreclose before recording notices. Plaintiff alleges Wells Fargo’s software was unreliable due to uncorrected errors persisting for years despite known deficiencies. (Compl. ¶¶ 54–56.) As in Hernandez 1, Defendants argue that HBOR is meant to regulate robo-singing. [sic] (Demurrer, 18:22-23.) Hernandez 1 rejected the ‘robo-signing only’ limitation.” (Opp., 12:18-24; Hernandez I, supra, 2019 WL 2359198 at *4 [“Wells Fargo argues that Section 2924.17 only protects against ‘robo-signing,’ which ‘occurs when persons sign a document without personal knowledge of the content attested to therein and/or sign the documents without the requisite authority to do so.’ [Citation.] Because the complaint does not allege ‘robo-signing,’ Wells Fargo argues, plaintiffs’ claim fails as a matter of law. This order declines to read Section 2924.17’s protections in such a limited way.”].)

There is no language within Civil Code section 2924.17 that expressly limits it to robo-signing. Accordingly, based on the language of the statute requiring a mortgage servicer to review “competent and reliable evidence,” and Plaintiff’s allegations that Defendants did not do so, the demurrer is overruled.

G. Unfair Competition Law

California’s Unfair Competition Law (“UCL”) “does not proscribe specific activities, but broadly prohibits any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising. (§17200.) The UCL governs anti-competitive business practices as well as injuries to consumers, and has as a major purpose the preservation of fair business competition. By proscribing any unlawful business practice, section 17200 borrows violations of other laws and treats them as unlawful practices that the unfair competition law makes independently actionable. Because . . . section 17200 is written in the disjunctive, it establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent.” (Puentes v. Wells Fargo Home Mortgage, Inc. (2008) 160 Cal.App.4th 638, 643-644 [internal quotations and citations omitted].)

“An ‘unlawful’ practice requires violation of another statute, and a business practice may be ‘unfair’ even if not otherwise proscribed by statute as long as the practice is not expressly authorized by law." (People ex rel. Dept. of Motor Vehicles v. Cars 4 Causes (2006) 139 Cal.App.4th 1006, 1016.) "Unlawful business activity proscribed under section 17200 includes anything that can properly be called a business practice and that at the same time is forbidden by law." (Farmers Ins. Exch. v. Superior Ct. (1992) 2 Cal.4th 377, 383 [internal quotations omitted].) "[A]n action based on Business and Professions Code section 17200 to redress an unlawful business practice 'borrows' violations of other laws and treats these violations, when committed pursuant to business activity, as unlawful practices independently actionable under section 17200 et seq. and subject to the distinct remedies provided thereunder." (Ibid.)

In the complaint, Plaintiff alleges, inter alia, that "Wells Fargo engaged in unlawful practices by denying mortgage modifications to Plaintiff in violation of HAMP and other governmental requirements." (Compl., ¶ 60.) "Wells Fargo engaged in unfair practices by failing to properly verify or audit the automated software it used to determine whether Plaintiff was eligible for a mortgage modification. Wells Fargo's faulty verification and auditing practices allowed multiple systemic errors to remain uncorrected for five to eight years…" (Compl., ¶ 61.) "Wells Fargo's verification and auditing practices and its oversight practices are unethical, unscrupulous, or substantially injurious to consumers; any legitimate utility of the practices are outweighed by the harm to consumers; and the practices run afoul of the public policies underlying HAMP and California Homeowners Bill or Rights, which seek to help homeowners avoid foreclosure and promote fair mortgage lending and servicing practices." (Compl., ¶ 63.)

For the unlawful prong, Defendants contend that "the Complaint improperly seeks to use HAMP as the hook for the UCL claim… But HAMP established guidelines, not laws or regulations, and does not create an independent right of action." (Dem., 20:12-15.) As for the unfair prong, Defendants assert that unfair conduct must either (1) "be 'tethered to some legislatively declared policy' or have some effect on competition," or (2) the challenged business practice must be "'immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.'" (Dem., 20:21-24.)

For the unlawful prong, Plaintiffs cite Hernandez I, supra, and Zhang v. Superior Court (2013) 57 Cal.4th 364. In Hernandez

I, the court stated, “Wells Fargo argues that HAMP cannot serve as the predicate for a Section 17200 claim because HAMP does not create a private right of action. Contrary to Wells Fargo, California law allows parties to challenge unlawful business practices under Section 17200 even where the underlying conduct violates a law that does not provide a private right of action.” (Id. at * 5.) In Zhang v. Superior Court (2013) 57 Cal.4th 364, 384, the Supreme Court found that “Private UIPA actions are absolutely barred; a litigant may not rely on the proscriptions of section 790.03 as the basis for a UCL claim. [Citations.] However, when insurers engage in conduct that violates both the UIPA and obligations imposed by other statutes or the common law, a UCL action may lie.” (Zhang v. Superior Court, supra, at p. 384.) Plaintiffs correctly assert that Zhang “held that when insurers engage in conduct that violates both the Unfair Insurance Practices Act and obligations imposed by other statutes or the common law, a UCL action may lie.” (Opp., 14:7-9.)

As for the unfairness prong, Plaintiff contends that “[t]he failure to properly verify/audit software and oversee compliance, undermining HBOR’s policy (Civ. Code § 2923.4) and constitutes immoral/unscrupulous conduct.” (Opp., 14:11-12.) Additionally, in Majd v. Bank of America, N.A. (2015) 243 Cal.App.4th 1293, 1304, the court expressed that “[f]alsely representing that ... [plaintiff] did not qualify for HAMP modification when, in fact ... [plaintiff] did qualify for a HAMP modification [i]s an unfair practice under the UCL.” (internal quotations omitted, citing Lueras v. BAC Home Loans Servicing, LP (2013) 221 Cal.App.4th 49, 84.)

Accordingly, Plaintiff adequately alleges Defendants engaged in unfair and unlawful practices. The demurrer to the third cause of action is overruled.

H. Wells Fargo & Company’s Liability

Defendants conclude that “[s]hould the Court not dismiss WFBNA, though, it should at the very least dismiss WFC. There is a significant amount of case law supporting the dismissal of WFC—a mere holding company— when Plaintiff’s allegations pertain only to the mortgage servicing business of WFBNA.” (Dem., 22:3-5.) Plaintiff’s complaint defines WFC as “a registered Wells Fargo holding company that owns and controls Defendant Wells Fargo Wells Fargo, N.A.” (Compl., ¶ 2.) Defendants contend that “Plaintiff’s inability to support a cause of action against WFC is underscored when analyzing each cause of action individually. For example, as to IIED, there are no allegations against WFC specifically other than that it signed two consent orders in 2011 and assumed 'oversight and compliance' obligations. (Compl. ¶¶ 17, 26.) WFC's purported noncompliance with its obligations under the consent orders is not, for the reasons discussed above, sufficient to give rise to an IIED claim. Similarly, as to HBOR, Plaintiff's assertion is meritless because that statute creates liability for a 'mortgage servicer, mortgagee, beneficiary, or authorized agent.' (Civ. Code, § 2924.19, subd. (b).) WFC is not any of these—nor is it alleged to be. Finally, as to Plaintiff's UCL cause of action, it too is unfounded because (1) there can be no violation of the unlawful prong without a predicate violation of law and (2) Plaintiff does not identify a single practice of WFC's—only practices of WFBNA—that is unfair." (Dem., 22:14-23.)

Plaintiff opposes this contention.
Plaintiff first explains that "[a]fter Defendants removed this case, the District Court ordered the parties to show cause ('OSC') why it should not be remanded for lack of subject matter jurisdiction due to a lack of complete diversity amongst the parties and an insufficient amount in controversy." (Opp., 15:2-4.) Plaintiff asserts that "the Court held that Defendants 'failed to meet its burden of showing that Wells Fargo & Company 'cannot be liable on any theory' and remanded the case to the present court." (Opp., 16:1-3; see also PRJN Ex. 1, 5:21, 7:1-2.)

Plaintiff next contends that the consent order provides a basis for WFC's liability because it states, inter alia, that WFC "owns and controls Wells Fargo Bank, N.A," "WFC, through the Bank, indirectly engages in the business of servicing residential mortgage loans for the Bank," and "WFC and its subsidiaries effectively manage their legal, reputational, and compliance risks." (DRJN Ex. B, pp. 1-3.) Plaintiff asserts that "[t]hese lines from Defendants' own documents show WFC: owns and controls WFBNA; indirectly engages in the business of servicing residential mortgage loans for the Bank; did not adequately assess the potential risks associated with the foreclosures at issue; was to maintain effective corporate governance and oversight over the consolidated organization; and, it and its subsidiaries were to effectively manage their legal, reputational, and compliance risks. These admissions are reflected in Paragraphs 2, 12, 15-19, 21 of the Complaint and demonstrate WFC's direct (or at least indirect) liability for the conduct complained of in the Complaint. The statements in the Consent

Order also point to another reason why the Demurrer should be overruled." (Opp., 17:1-5.)

In response, Defendants contend that "the Bank Holding Company Act does not impose liability on parent companies for the torts of their subsidiaries. It defines a 'bank holding company' for regulatory purposes—it does not create any duties owed to borrowers or establish agency as a matter of law. The Opposition cites no authority for the novel proposition that 12 U.S.C. § 1841(a)(1) transforms a holding company into a tortfeasor." (Reply, 11:1-4.) Additionally, Defendants contend the "federal remand order does not help Plaintiff. The federal district court merely found that Wells Fargo & Co. was not fraudulently joined for diversity purposes—a much lower threshold requiring only that Defendants fail to show that Wells Fargo & Co. 'cannot be liable on any theory.'" (Reply, 11:5-7.) Defendants further contend that "the consent orders do not establish Wells Fargo & Co.'s liability. The Opposition quotes language from the consent orders stating that Wells Fargo & Co. 'owns and controls' WFBNA and 'indirectly engages' in mortgage servicing. (Opp. 16.) That language is no surprise and merely reinforces Wells Fargo & Co.'s parent status." (Reply, 11:13-16.) Defendants cite to Hernandez II, supra, where the court stated that "[a] parent's mere ownership of a subsidiary, even if absolute, is insufficient" to establish an agency theory. (Hernandez II, supra, 2019 WL 3017657, at *2.) The court stated that the "plaintiffs have not sufficiently alleged that WFC is indirectly liable for the Bank's actions" and proceeded to analyze the claims "under a theory of direct liability," which the court found plaintiffs did not meet. (Id. at * 3.)

Plaintiff here has not pled that WFC is indirectly liable for the actions of WFBNA. Moreover, Plaintiff does not properly allege direct liability because the allegations in the complaint implicate WFBNA, not WFC as a parent company. Accordingly, the Court sustains the demurrer to the causes of action alleged against WFC.

Conclusion

For the foregoing reasons, Defendants' demurrer in its entirety is SUSTAINED with leave to amend as to WFC. For the causes of action alleged against WFBNA, the demurrer as to the first cause of action is SUSTAINED with leave to amend and the demurrer as to the second and third causes of action is OVERRULED.

Plaintiff is ordered to file and serve an amended complaint, if any, within 20 days of the date of this Order. If no amended complaint is filed within 20 days, the Court orders WC to file and serve a proposed judgment of dismissal and WFBNA to file and serve an Answer within 30 days of the date of this Order.

Defendants are ordered to provide notice of this Order.

DATED: July 27, 2026

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Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court